

YEF FRANKFURT 2026

POLICY SIMULATION LAB

Between Interest and Order

PRE-READING: KEY LITERATURE & CONCEPTS

We'll use them as lenses during the policy lab.

SECTION 1: THEORY — THE FIVE FRAMEWORKS WE'LL USE

1. STEPHEN KRASNER — Sovereignty: Organized Hypocrisy (1999)

What he argues: Sovereignty is the foundational fiction of the international system. States claim absolute control over their territory and affairs, but in practice they constantly violate that principle — accepting external interference when it suits them, demanding it when they need protection. Krasner calls this "organized hypocrisy": a gap between what states say and what they actually do, which the international system has learned to tolerate.

Why it matters for this session: The Gulf states are a perfect case study. They assert full sovereignty while structurally depending on US security guarantees, European capital markets, and global supply chains they don't control. When a war they didn't choose wiped billions off UAE equity markets, that dependency became impossible to ignore. Krasner gives us the language to name it without pretending it shouldn't exist.

Use it to: Identify the gap between your country's formal sovereignty claims and its real economic or security dependencies when building your policy memo.

2. JOSEPH NYE — Soft Power (2004)

What he argues: Power isn't just coercion (hard power) or money (economic power). A third kind — soft power — operates through attraction: the ability to make others want what you want, because they admire your values, culture, or institutions. Nye developed this to explain why the United States retained global influence even when it couldn't or wouldn't use military force.

Why it matters for this session: The EU's entire external strategy is built on soft power: the idea that countries want to align with European standards, regulation, and values. But soft power only works if the attraction is genuine. The question for your memo is whether the EU's appeal is credible to your country's public, or whether it's a one-way story the EU tells itself.

Use it to: Test whether the EU's pitch to your region is genuinely attractive or whether it requires coercion to land.

3. SUSAN STRANGE — States and Markets (1988)

What she argues: Strange was impatient with theories that focused on what states said rather than who actually held power. She argued that structural power — the ability to set the rules within which others must operate — matters far more than the visible exercise of influence. The US didn't need to threaten anyone to shape global finance; it simply controlled the dollar system, and everyone else had to work within it.

Why it matters for this session: The EU operates significant structural power through the "Brussels Effect": its regulatory standards (GDPR, the AI Act, carbon border adjustments) become global defaults because companies find it simpler to comply once than to maintain separate systems for different markets. Your country may already be operating inside EU-set rules without having agreed to them. Strange helps you find where that leverage sits.

Use it to: Map the EU frameworks your country cannot practically avoid — and decide whether that's a reason to engage more deeply or to build alternatives.

4. HENRY FARRELL & ABRAHAM NEWMAN — Weaponized Interdependence (2019)

What they argue: Globalisation was supposed to make conflict less likely by binding countries together through trade and finance. Farrell and Newman show the opposite can be true: the same networks that create interdependence create chokepoints, and states that control those chokepoints can weaponise them. The US dollar clearing system, semiconductor supply chains, and internet infrastructure are all examples — cut off access, and you have enormous leverage without firing a shot.

Why it matters for this session: The UAE shock is a live case. A war that the UAE had no part in closed the Strait of Hormuz and suspended its stock exchanges within days — because UAE connectivity ran through chokepoints it didn't control. The same logic applies to EU-Gulf relations: trade routes, financial clearing, and data infrastructure all create mutual dependencies that can be either stabilising or coercive, depending on who holds the switch.

Use it to: Identify the specific chokepoints in your country's relationship with the EU — where does market access become leverage?

5. EDWARD SAID — Orientalism (1978) / MICHEL FOUCAULT — Discipline and Punish (1977)

What they argue: Both Said and Foucault, in different ways, interrogate who gets to define the categories that structure reality. Said showed how Western scholarship constructed "the Orient"

as exotic, backward, and in need of Western guidance — and how that framing served imperial power. Foucault argued more broadly that power operates not just through force but through knowledge: whoever controls the definitions controls what counts as normal, rational, or legitimate.

Why it matters for this session: "Good governance," "transparency," "rule of law" — these are the EU's standard conditions for partnership. Said and Foucault prompt us to ask: whose definitions are these, who benefits from them, and what gets excluded? This isn't an argument that those values are wrong. It's an argument that when one party sets all the terms, the other party should name that dynamic rather than simply accept it.

Use it to: Interrogate the framing of the EU's partnership conditions — and decide whether your memo accepts, adapts, or pushes back on those terms.

SECTION 2: CONTEXT — THE UAE SHOCK (FEBRUARY–MARCH 2026)

The case we'll open with is the economic fallout in the UAE following the outbreak of the Iran conflict in late February 2026. The UAE fired not a single shot. It took no military position. And yet:

— Dubai (DFM) and Abu Dhabi (ADX) equity indices suffered significant losses within weeks of 28 February 2026 — UAE, Qatar, and Bahrain closed their airspace — the first wartime aviation shutdown in UAE history — The Strait of Hormuz, through which roughly 25% of seaborne oil and 20% of global LNG passes, was declared closed by Iran — The IEA described it as the most significant supply disruption in the modern oil market

Sources for further context:

- Al Jazeera / Middle East Eye (March 2026) — UAE market and aviation reporting
- AGBI (Arabian Gulf Business Insight) — regional economic analysis
- Goldman Sachs / Citi estimates on equity losses
- EUISS: Europe and the Gulf at a Strategic Turn

SECTION 3: BROADER READING (OPTIONAL BUT USEFUL)

If you want to go deeper on any of the session's themes:

On the international order: — John Ruggie, "International Regimes, Transactions, and Change: Embedded Liberalism in the Postwar Economic Order" (1982) — how liberal economic rules

were designed to preserve domestic political space. Relevant to whether the EU model is exportable.

— John Mearsheimer, *The Tragedy of Great Power Politics* (2001) — the pessimistic realist case: states ultimately compete for power, and economic interdependence doesn't override that. A useful counterweight to the partnership framing.

On power and narrative: — Noam Chomsky & Edward Herman, *Manufacturing Consent* (1988) — how media structures shape what counts as legitimate knowledge and whose interests get represented.

On the Gulf and Europe: — EUISS, *Europe and the Gulf at a Strategic Turn* — the most current policy-focused analysis of where the relationship stands and where it might go.